

ST. JOSEPH'S COLLEGE OF COMMERCE (AUTONOMOUS)**END SEMESTER EXAMINATIONS- JUNE 2022****B.COM (International A/c & Fin) - VI SEMESTER****C4 15 MC 603 ENTREPRENEURSHIP DEVELOPMENT****Duration: 3 Hours****Max. Marks: 70****SECTION - A****I) Answer any TEN questions. Each carries 1 mark. (10x1=10)**

1. What is an Enterprise? Write two examples of enterprise.
2. Who are referred to as 'lifestyle Entrepreneurs'. Give suitable examples.
3. What kind of resources are needed for innovative entrepreneurial ventures?
4. Why is location planning important for an entrepreneur.
5. Point out two disadvantages of a 'Business Model'.
6. What is meant by resource velocity concept of a business model?
7. What is Love money?
8. What are the sources of fixed capital?
9. What is meant by single window system?
10. What is SIDC? For what purpose it is established?
11. List any two advantages of Foreign Direct Investment.
12. What is Piggybacking?

SECTION - B**II) Answer any THREE questions. Each carries 6 marks. (3x6=18)**

13. Deliberate on the competencies that will help an entrepreneur to successfully venture into an enterprise.
14. Discuss the steps to be followed in developing an exit plan that will provide maximum value for business.
15. What are the various important information to be highlighted in a Startup business plan?
16. What are Technical Consultancy Organizations? What are its functions?
17. Explain different methods of trade protectionism.

SECTION - C**III) Answer any TWO questions. Each carries 15 marks. (2x15=30)**

18. How does entrepreneurship contribute to economic development of a nation?
19. What sources do entrepreneurs use to generate and select suitable product/project ideas.
20. Explain the techniques used to obtain data for making Capital Cost Estimates.
21. Discuss the modes that entrepreneurs use to enter into international business.

SECTION - D

IV) Case Study – Compulsory question.

(1x12=12)

22.

NEED TO LOOK FOR NEW AVENUES

Setting up a venture in an altogether new field of business is not an easy task. After 30 successful years of trading in sesame seeds and oil, Harsh decided to look around for new opportunities and choose a suitable one. The increase in raw material prices (sesame seeds) because of exports, a change in customers' tastes with their preferences veering toward refined oil, and the larger slice of the market being grabbed by the organized sector were the key factors that has led to his decision to hunt for new avenues. After doing a thorough market study, he identified the product –purified drinking water– which he could supply. Doing a proper market survey to identify the product and find the gap in the present offerings requires a lot of effort. Once this work is done, one has to decide upon the plant location, layout, and finally the set up. The estimation of funds needed for capital and revenue expenditure, buying machinery, and other materials consumes a lot of time and energy.

With the rise in the frequency of water-borne diseases, the government also campaigned for safe water. Doctors too were advising the residents to drink purified water.

To set up his water purification plant, Harsh hunted around for the vendors of the necessary machines (including a filter and chilling unit), tanks to store water, water cooler jars, and water coolers for delivering to the final customer, i.e. the retailers.

Harsh teamed up with his younger brother, Shyam, to look after the business. He took charge of production –procurement of water, filtration, and chilling of water, and filling and cleaning of the water coolers and jars. Shyam was allocated the work of marketing and supplying the water to the customers and collecting the payment.

Harsh started a water filling plant in the city of Bali in the north Indian state of Rajasthan to make sure that the filled water coolers were delivered on time as usual. On January 1, 2012, the first batch of purified water was rolled.

He was satisfied with the progress his new business had made in its initial three years. Through his business, he had been able to manage routine expenses and minor investments during the last three years. However, Harsh was troubled by the increasing competition and falling profit margins. He wondered how long his business would remain sustainable and how well it would do. He also wondered whether the Break Even Point (BEP) had been reached and when this business would become self-sustainable.

During his market survey, Harsh found that the suppliers of purified water who were operating then were serving textile mills, banks, the industrial area, and other big giants in the field within the city of Bali.

First year operation

The shopkeepers were amazed at the novel method of supplying drinking water in the retail market. They asked a few shop owners - Harsh's existing clients about the charges, quality of water, and services offered. Within a few days, more customers were added. In a month's time, the customer base went up to 50 from 30. In three months, this number had moved into three digits and Harsh was offering his services to 100-odd customers.

Second year learnings

The dawn of 2013 brought with it a good omen for Harsh. Sales in the first two months, January and February, escalated due to marriages and to new customers being added. People were placing orders for water coolers even for small social functions.

Completing third year

In the third year of functioning, the trend of the previous year continued during the first quarter of the calendar year. In April, Harsh participated in a tender for the supply of water to various booths for officials during the assembly election 2014.

Way ahead

Although the market for purified water had expanded during the three years in the city of Bali, many new players had joined the fray to grab the lucrative opportunity. Having a single plant in the heart of the city had proved beneficial to Harsh as other players' units were at faraway places.

Questions:

1. Outline the steps Harsh would have taken in formulating a business plan. **(6 marks)**
2. What do you think should be the key markets and strategies moving forward for Harsh's new business? **(6 marks)**

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